

Introduction to duties [¶30-010]

[¶30-010]

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A duty may generally be seen as a tax on capital, rather than income, because it is commonly fixed by reference to the principal amounts involved. In addition to providing a significant means of revenue for the government, there is often a social policy intent behind duties legislation. Estate duty, for example, was introduced as a means for preventing the accumulation of wealth in the hands of those who had not earned it. The original purpose of gift duty was to protect estate duty. However, it was overtaken by other developments and rendered obsolete.

The assessment and collection of duties is administered by Inland Revenue (IR). Cheque duty was imposed on bills of exchange under the [Stamp and Cheque Duties Act 1971](#) (SCD) before 1 July 2014 (the Act now largely repealed, retained for historical context and provisional purposes). Duty is also imposed on the winnings of gaming and casino operators, lottery organisers and race clubs under the [Gaming Duties Act 1971](#) (GD).

Last reviewed on 31 December 2025

Gift duty abolished from 1 October 2011 [¶30-125]

[¶30-125]

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Gift duty was abolished for dispositions of property made on or after 1 October 2011. The Estate and Gift Duties Act 1968 remained effective for dispositions of property before that date.

For commentary on gift duty for dispositions before 1 October 2011, please refer to CCH, *New Zealand Master Tax Guide 2012*.

Last reviewed on 31 December 2025

Issues arising from the abolition of gift duty [¶30-126]

[¶30-126]

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With the abolition of gift duty, the making of a gift has become more flexible. However, a gift can give rise to a number of issues that can result in adverse consequences for the donor. Before a gift is made, consideration should be given to the following issues:

- # income tax implications
- # financial arrangements rules
- # creditor protection
- # relationship property
- # residential care subsidies
- # documentation, and
- # laws in foreign jurisdictions.

The following income tax and GST implications arising from the abolition of gift duty should be considered:

- # The abolition of gift duty does not have any impact on the income tax anti-avoidance rules. As has always been the case, a gift may be deemed to be part of a wider arrangement of tax avoidance under s [BG 1](#) of the Income Tax Act 2007 (IT07).
- # When a gift is made, a specific rule in the IT07 deems there to be a disposal and acquisition at market value. As a result, the gifting of tax base property may give rise to income tax implications such as depreciation recovery income.
- # The gifting of shares can give rise to a breach in shareholder continuity for the purposes of carry forward losses and imputation credits.
- # Section [10\(3\)](#) of the Goods and Services Tax Act 1985 treats the associated supply of goods and services as if they were for market value where there is no fully adequate consideration. Therefore, the provision of goods and services as gifts may give rise to GST consequences where the donor is GST registered.

Financial arrangements rules

The debt that arises from the sale and debt-back mechanism adopted to avoid gift duty is a financial arrangement.

A loan that is interest-free and repayable upon demand is an excepted financial arrangement to the lender. This means that no income accrues to the lender from the arrangement (s [EW 5\(10\)](#)).

However, from the borrower's perspective, a loan is subject to the financial arrangements rules. Where a debt is forgiven, the rules that apply to financial arrangements provide that income can accrue to the borrower. However, these rules do not apply where the debt is forgiven in consideration of natural love and affection. Where the debtor is a trustee, natural persons are able to forgive debts owed to them by the trustee without income tax consequences if the trust was established mainly to benefit "a natural person for whom the creditor has natural love and affection" and/or a charity that is registered with the Charities Services (s [EW 50](#)).

Where, however, trustee debts have been forgiven, and the trustees of the trust subsequently make distributions to persons other than those for whom the creditor has natural love and affection or registered charities, such distributions will be income to the trustees in the year in which the distributions are made to the extent that the distributions do not exceed the amounts of the debts forgiven (s [EW 50](#) and [¶6-420](#)).

Following the abolition of gift duty, the limitations on beneficiaries that previously applied to avoid financial arrangement income no longer apply. This means that if assets are gifted directly to trustees of a trust where no gifting programme has been in place, there is no requirement to limit the classes of beneficiaries, as had previously been the case.

Creditor protection

Before a gift is made, the solvency of the donor should be considered. This is because there are 2 main pieces of legislation that provide protection to creditors and may cause gifts to be clawed back in certain circumstances.

Section [346](#) of the Property Law Act 2007 contains provisions that allow for gifts to be clawed back where a creditor has been prejudiced. In particular, it applies to dispositions made after 31 December 2007 by a debtor with intent to prejudice creditors, or made by way of gift, or without receiving reasonably equivalent value in exchange, in the following circumstances:

- # the debtor (donor) was insolvent at the time, or became insolvent as a result, of making the disposition
- # the debtor was engaged, or was about to engage, in a business or transaction for which the remaining assets of the debtor were, given the nature of the business or transaction, unreasonably small, or
- # the debtor intended to incur, or believed or reasonably should have believed, that the debtor would incur, debts beyond the debtor's ability to pay.

Subpart [6](#) of Pt [6](#) of the Property Law Act empowers the courts to set aside property dispositions where there was an intention to prejudice the interests of a creditor-applicant.

The Insolvency Act 2006 applies where a donor has become bankrupt. Any gift made by the donor within the 2 years before the bankruptcy can be cancelled by the Official Assignee (s [204](#)). In addition, gifts made between 2 and 5 years before bankruptcy can also be set aside if the bankrupt was unable to pay their debts (s [205](#)). The onus is on the bankrupt to prove solvency without the aid of the property gifted.

Section [292](#) of the Companies Act 1993 gives the Official Assignee similar powers but over shorter time frames (6 months and 2 years).

Relationship property

With the abolition of gift duty, it is easier for a person to transfer property into trusts to defeat the interests of their spouse. However, a spouse may be entitled to compensation under the Property (Relationships) Act 1976 where their claim has been defeated by the disposition of property. Under that Act, the court can make an order for a person who has received the property otherwise than in good faith to transfer the property to any person that the court directs or to pay the difference between the value of the property and the consideration paid (if any) (s 44).

Any significant gifts of relationship property should be recorded in a s 21 of the Property (Relationships) Act agreement if the gift is being made in fulfilment of relationship property rights.

The possibility of claims under the Family Proceedings Act 1980 should also be taken into account.

Residential care subsidy

Entitlement to the residential care subsidy is determined in accordance with the Residential Care and Disability Support Services Act 2018 (previously the Social Security Act 1964 and the Social Security (Long-term Residential Care) Regulations 2005). The legislation is administered by Work and Income New Zealand (WINZ), the service delivery arm of the Ministry of Social Development.

The gifting period commences 5 years before the date of the means assessment.

The Residential Care and Disability Support Services Act has means-testing provisions for both assets and income. Sections 39 and 40 state that where a person (or the person's spouse or partner) applies for a means assessment, and that person has "directly or indirectly deprived himself or herself of any income or property", the chief executive has a discretion to assess the person as if the deprivation has not occurred.

Instances that will qualify as deprivation of assets include any gifts that exceed \$27,000 in any 12-month period before the 5-year gifting period. There is no time limit on the Ministry of Social Development's discretion to consider adding back assets that applicants have divested before the commencement of the 5-year gifting period (unlike the 5-year clawback on "allowable gifts" of up to \$8,000 from 1 July 2024).

A Court of Appeal decision means that gifting by a person's spouse can be taken into account when assessing that person's entitlement to residential care subsidies (*Bridgford v Chief Executive of the Ministry of Social Development* [2013] NZCA 410). In that case a wife and her husband had set up a family trust in 1987 and made gifts of \$27,000 each per year between 1987 and 2004. In 2009, the wife moved into a rest-home and her application for a residential care subsidy was declined due to her assets considerably exceeding the limit for eligibility. All gifts made by the wife and her husband collectively in excess of \$27,000 per year were counted back as personal assets. The Court of Appeal found that for the purpose of the exemption for gifts in the Social Security Act 1964, the exemption was limited to a combined sum for both the applicant and their spouse or partner of \$27,000 pa.

Because the regulations focus on deprivation of assets by the applicant, it does not matter that these assets have changed legal ownership. There is no need to look behind a trust or to show that the applicant has retained the effective control or enjoyment of the transferred assets. Simply the fact that the applicant has transferred their assets may allow them to be brought back into means testing.

Documentation

Proper documentation should still be kept to record the nature of gifts made, regardless of the fact that gift statements are no longer required to be filed from 1 October 2011. Gifts should be recorded in a deed of gift. The reasons for making the gift should also be documented, given that the clawback provisions outlined above have become more prevalent.

Trustees are still required to keep a record of all forgiveness of debt and distributions to beneficiaries over the life of the trust: s [22B](#) of the Tax Administration Act 1994 (TAA).

Laws in foreign jurisdictions

Although gift duty is no longer an issue from a New Zealand perspective, gifting laws in foreign jurisdictions should be considered where the donor is also subject to the laws of a foreign jurisdiction.

Last reviewed on 31 December 2025

Cheque duty repealed from 1 July 2014 [¶30-265]

[¶30-265]

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Cheque duty was repealed from 1 July 2014.

For commentary on cheque duty before 1 July 2014, please refer to CCH, *New Zealand Master Tax Guide 2014*.

Last reviewed on 31 December 2025

Approved issuer levy (AIL) [¶30-300]

[¶30-300]

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Overview of approved issuer levy

Approved issuers are able to pay interest to non-residents without deducting non-resident withholding tax (NRWT) ([¶26-450](#)). Approved issuers are required to pay a levy for the right to issue securities that are subject to the approved issuer regime. The levy is calculated at a rate of 2 cents for every dollar of interest paid on the security. The levy is a charge on the payer and is not deducted from the interest paid to the non-resident lender. If the cost of the levy is to be recovered from the recipient, it must be shown as a fee or charge. A person other than the approved issuer can pay the levy for the approved issuer.

For a zero-rate of NRWT to apply in respect of interest paid by an issuer to an overseas lender:

- # the issuer must apply and be approved as an approved issuer ([¶30-310](#))
- # the security in respect of which the interest is paid must be registered with the Commissioner ([¶30-320](#)), and
- # the approved issuer levy (AIL) must be paid in respect of every dollar of interest paid ([¶30-330](#)).

The AIL option is not available where:

- # the interest payments are made to non-residents who are engaged in business in New Zealand through a fixed establishment in New Zealand, because they are excluded from the NRWT rules
- # the interest payments are derived jointly by 2 or more persons and at least one of those persons is a New Zealand resident
- # the interest is derived by a person associated with the approved issuer (unless the approved issuer is a member of a New Zealand banking group) ([¶16-225](#) for discussion of the associated persons concept)
- # the interest relates to related-party debt.

Interest payments that do not satisfy the conditions for zero-rating are subject to NRWT at the full rate.

The Debt Management Office (a government agency) pays the 2% AIL for non-residents holding government securities that are covered by the regime. Thus, the full amount of interest due in respect of government securities is paid without any deductions.

AIL at the rate of 0% may apply to certain qualifying bonds ([¶30-326](#)).

Note that a 2022 amendment to s [RF 12](#) ensures that AIL can still be paid instead of NRWT as long as the approved issuer and the lender are associated through a security trust. This is an exception to the rule that parties may not be related under the AIL rules.

Deductibility

The levy will be tax deductible if the New Zealand borrower has incurred the expense and the general permission for deductibility is satisfied.

Commercial bills and anti-avoidance

Section [GB 26](#) includes, as income of a person, the redemption payment in cases where a non-resident disposes of a commercial bill to a resident immediately before maturity of the bill. The section is a specific anti-avoidance provision aimed at preventing arrangements that use commercial bills to avoid NRWT or AIL ([¶33-144](#)).

Law: IT07 ss [GB 26](#), [RF 12](#); SCD ss [86F](#), [86I](#), [86IC](#), [86J](#)

Last reviewed on 31 December 2025

Approved issuer status [¶30-310]

[¶30-310]

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A person becomes an approved issuer by notifying the Commissioner that they wish to have approved issuer status. This can be done through myIR secure online services at the IR's website. Applications can also still be made using form [IR396](#).

A person also becomes an approved issuer if they are treated as an approved issuer by the Commissioner because they have paid interest under a security and:

- # the security is a notional loan from a New Zealand branch of a foreign bank ([¶30-322](#)) and NRWT was not withheld from the interest, or
- # an amount of interest was apportioned to a New Zealand source under s [YD 5\(4\)](#) of the IT07 from money lent outside New Zealand to a New Zealand resident borrower for an offshore branch through which the borrower lends money to another New Zealand resident and NRWT was not withheld from the interest.

In these cases, the security is treated as a registered security.

A borrower elects to pay AIL in relation to a particular security, by either being or becoming an approved issuer, by applying to register the security, and by paying the levy for the security. A borrower will be eligible to elect to pay AIL for the purposes of an exemption under a double tax agreement (DTA), as well as for the purposes of the NRWT rules.

Limited partnerships and AIL

Retrospective amendments have been made to allow limited partnerships to access the AIL regime where all of the following requirements are met:

- # the borrower/limited partnership is registered for AIL (s [32M](#) of the TAA)
- # the security registered (s [86H](#) of the SCD)
- # the requirements of s [RF 12\(1\)\(a\)\(ii\)](#) and [\(iv\)](#) of the IT07 are met (interest paid and related-party debt), and
- # the interest is derived by a non-resident partner as non-resident passive income.

See [¶23-020](#) onwards for commentary on limited partnerships.

The Commissioner may revoke a person's approved issuer status at a particular time if the Commissioner considers the person has been responsible for serious default or neglect in complying with their tax obligations under any of the IR Acts in the 2-year period leading up to that time. Approvals can also be revoked at the request of the issuer, unless the issuer is an approved issuer because they are being treated as one by the Commissioner. The Commissioner must notify the person of a revocation.

Despite revocation, a person continues to have approved issuer status for the purposes of the NRWT rules, the AIL rules, and an exemption under a DTA, for a payment of interest made after the date of revocation for money lent to the person under a registered security while the person was an approved issuer and before the date of revocation.

All enquiries relating to AIL should be directed to IR's Non-resident Centre.

Law: IT07 s RE; TAA ss [32M](#), [32JB](#); SCD s [86](#)

Last reviewed on 31 December 2025

Approved issuer — registration of securities [¶30-320]

[¶30-320]

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Approved issuers must register the debt instruments they issue by sending a completed registration form [IR397](#) to IR. Once the Commissioner is satisfied that the security being registered relates to money lent to an approved issuer, the transaction will be registered, and the approved issuer will be notified in writing within 20 working days after receipt of the application.

Notional loans from New Zealand branches of foreign banks ([¶30-322](#)) and transactions involving money lent where the issuer is treated as an approved issuer by the Commissioner ([¶30-310](#)) are treated by the Commissioner as registered securities.

Late registration of securities

The registration of a security or class of securities takes effect from the date on which the Commissioner receives the application for registration from the approved issuer.

Previously the Commissioner did not have the discretion to alter the date of registration if an approved issuer failed to register the security but paid the AIL as required. From 1 April 2025, the Commissioner may backdate the date of registration (s [86H\(3\)](#) and [\(4\)](#)), if the Commissioner is satisfied that the delay in making the application:

- # was due to an oversight, or
- # occurred despite reasonable efforts by the borrower to make the application before the date of the first interest payment. See *Tax Information Bulletin* [¶375-102](#) Vol 37, No 5, June 2025 at 49–55 for detailed commentary and example on retrospective registration.

Any interest paid to a non-resident before the security is registered must have NRWT deducted at the usual rate. If the approved issuer registers a security later, only interest paid to the non-resident from the date of registration is eligible to be subject to the AIL. Interest paid before the registration date continues to be subject to NRWT.

Law: SCD ss [86F](#), [86G](#), [86H](#)

Last reviewed on 31 December 2025

Notional loan by a foreign bank [¶30-322]

[¶30-322]

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A foreign bank may make a notional loan to its New Zealand branch that is recognised for the purposes of the NRWT rules and AIL (s [FG 2](#)).

Notional loan

A foreign bank may carry on business in New Zealand through a fixed establishment in New Zealand. The New Zealand branch may receive funds from its head office and record the transaction as a loan in its accounting records. If so, the branch is treated as having received a loan and is entitled to a deduction for the interest payable under the notional loan. Any repayment of the notional loan is treated as an appropriate reduction to the loan. The notional loan is confined to funds provided by the head office. It does not include funding provided to the branch that is sourced from New Zealand. The recognition of a notional loan is available only for a registered bank. In the absence of the statutory provisions, a funding arrangement between a head office and a branch would be unable to be recognised. The arrangement is internal within the one legal person and so there would not be 2 parties eligible to be the lender and the borrower (*Max Factor and Co v FC of T* [84 ATC 4060](#)).

Notional interest

Amounts treated as an expense under the notional loan are treated as interest that is non-resident passive income. For each income year the expense is treated as having been paid by the branch as at the end of the third month following the branch's balance date. The deemed payment of interest is subject to AIL. This is a mandatory treatment of the interest and so the branch must register as an approved issuer for AIL purposes. Alternatively, it is possible for the branch to pay NRWT. That is likely to be the more expensive approach on the assumption that the NRWT would not be fully creditable for the head office (because the tax credit would be proportionate to net rather than gross interest income).

Application

The notional loan provisions commenced on 30 March 2017. For funding that had been made available to a New Zealand branch before that date, commencement of the regime was deferred until the 2019–20 income year.

Law: IT07 ss [FG 1–FG 3](#); SCD s [86IC](#)

Last reviewed on 31 December 2025

Application of approved issuer levy [¶30-325]

[¶30-325]

[Click to open document in a browser](#)

A payment of interest for the purposes of the NRWT rules of the IT07, s [86J](#) of the SCD and an exemption under a DTA, may be made by an approved issuer or on the approved issuer's behalf (such as by a nominee company) at a zero-rate of NRWT on the registered securities. To access the zero rate, the interest is treated as paid to the non-resident lender only when the AIL of 2% of the value of the interest is paid by or on behalf of the approved issuer.

The payment of AIL is compulsory in relation to interest paid under a notional loan to a New Zealand branch of a foreign bank ([¶30-322](#)) or transactions involving money lent where the issuer is treated as an approved issuer by the Commissioner ([¶30-310](#)) and NRWT was not withheld from the interest.

In addition, the payment of the AIL must be made by the due date ([¶30-330](#)). Interest will be charged if the payment is not made by the due date ([¶14-200](#)). Late payment penalties may also be incurred ([¶30-330](#)).

Law: IT07 s [RF 12](#); SCD ss [86I](#), [86IB](#), [86IC](#), [86J](#); TAA s [32M](#)

Last reviewed on 31 December 2025

Zero rate of approved issuer levy on qualifying bonds [¶30-326]

[¶30-326]

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The AIL applies at a 0% (as opposed to the usual 2% rate) on interest that is paid on debt securities that satisfy a set of strict requirements. The requirements are designed to limit the application of the 0% rate to bonds that are widely held and issued in New Zealand and to guard against the fiscal risk of closely held debt being packaged or reclassified so as to qualify for the 0% rate. The 0% rate will only be available where a registered security meets certain specific requirements and the approved issuer provides IR with a statement confirming this.

To access the 0% rate of AIL, the issuer of the security must register to pay the AIL in the first place. The issuer of the security must be an approved issuer under s [32M](#) of the TAA and must have registered the security under s [86H](#) of the SCD. This allows payment of AIL at the 2% rate.

The AIL is considered to be paid when either the existing 2% rate is paid, or the new 0% applies: s [86I](#) of the SCD. When the AIL is considered to be paid, a 0% rate of NRWT will apply under s [RF 12](#) of the IT07 as long as the borrower and lender are not associated and providing the interest is not jointly derived with a New Zealand resident.

Section [86IB](#) of the SCD sets out additional requirements that a registered security must meet to qualify for the 0% rate of AIL on bonds issued in New Zealand:

- # the security is denominated in New Zealand dollars
- # the issue of the security was under a regulated offer for the purposes of the Financial Markets Conduct Act 2013, an offer referred to in [Sch 1 cl 19](#) or, from 1 December 2014, cl [21\(b\)](#) of that Act, or an offer to the public for the purposes of the Securities Act 1978 and was not a private placement
- # the security is not an asset-backed security
- # the activities of the registrar and paying agent for the security are conducted through one or more fixed establishments in New Zealand, and
- # the security is quoted on a licensed market (within the meaning of s [6\(1\)](#) of the Financial Markets Conduct Act) or the security is one of a number traded in a market that brings together buyers and sellers of securities and satisfies a widely held test.

Note that there is an exclusion to the general rule that the borrower and lender may not be associated for AIL to apply. Section [RF 12\(1\)\(a\)\(ii\)](#) provides that AIL may still be paid if the debt is only related party debt because the parties are associated through the lender being the beneficiary of a security trust. The amendment does not provide the ability to pay AIL if the registered security is a related party debt for other reasons. So, AIL will not be payable if the registered security is an indirect associated funding arrangement (s [RF 12H\(1\)\(a\)\(ii\)](#)), or the lender is a member of a non-resident owning body that is associated with the borrower (s [RF 12H\(1\)\(a\)\(iii\)](#)), or the borrower and lender are associated for other reasons.

Widely held

The widely held test is outlined in s [86IB\(2\)](#) of the SCD. The test will be satisfied if an unlisted bond is held by at least 100 investors and the issuer has “reasonable grounds” for assuming that the investors are not:

- # associated with the issuer, except by being a beneficiary of a trust established for the main purpose of protecting and enforcing beneficiaries’ rights under the class of securities
- # associated with another member of the group, and
- # part of an arrangement aimed at temporarily increasing the number of bond holders (ie so that the bond meets the other requirements of the widely held test).

In addition, no single investor or group of associated investors can hold more than 10% of the bonds issued.

These requirements must be satisfied on each interest payment date for the 0% rate to apply.

Documentation requirements

Regardless of whether they pay the AIL at 2% or 0%, approved issuers will need to continue to file an AIL return/payment slip by the 20th day of the month following the month in which the interest payment was made. The slip requires the issuer to record the total amount of interest payments that have been zero-rated. A person will not generally be able to use the 0% rate of AIL in respect of any interest payments for which they fail to provide this information by the 20th day of the following month. However, there is scope for the Commissioner to provide a later deadline in a notice given to the approved issuer. Alternatively, an approved issuer that is late in supplying this information is still able to get a 2% rate if they pay the AIL at a later date, along with any interest and penalties.

Law: IT07 s [RF 12](#); SCD ss [86I](#), [86IB](#), [86J](#); TAA s [32M](#)

Last reviewed on 31 December 2025

Approved issuer levy and double tax agreement relief [¶30-328]

[¶30-328]

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DTAs that have been revised in more recent years (eg DTAs with Australia and the United States) have included a new exemption from source-country tax for interest derived by banks. For interest derived from New Zealand, the availability of the exemption depends on the borrower paying AIL unless the borrower is not eligible to elect to pay the levy, or there is no such levy, or the rate of the levy exceeds 2% of gross payments.

The circumstances in which a person is eligible to pay the AIL have been clarified. A borrower is eligible to elect to pay the AIL to qualify for an exemption under a DTA, as well as for the purposes of the NRWT rules, even if paying the levy makes no difference to the way a transaction is dealt with under domestic law. Section [86L\(2\)](#) aligns the AIL rules with treaty obligations when an amount of levy paid in error or excess is refunded. Section [32M](#) of the TAA clarifies that a borrower is eligible to elect to pay the AIL for the purposes of an exemption under a DTA as well as for the purposes of the NRWT rules.

Law: IT07 s [RF 12](#); SCD ss [86I](#), [86J](#), [86L\(2\)](#); TAA s [32M](#)

Last reviewed on 31 December 2025

Payment of approved issuer levy [¶30-330]

[¶30-330]

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To ensure that approved issuers can pay interest to non-residents without deduction of NRW, the AIL must be paid to IR. The AIL is calculated as 2% of the amount of interest paid by the approved issuer. The terms “interest” and “pay” take their meanings from the definitions of those terms in s [YA 1](#) of the IT07.

Levy payments should be made electronically and the approved issuer form (previously [IR67A](#)) is available under the AIL account in the payer’s MyIR portal. This form will be available under the taxpayer’s MyIR account once registration has taken place. Up until 31 March 2020, IR sent a pre-printed [IR67A](#) to the approved issuer about 2 weeks before an interest payment is due.

Due dates for payment

Levy payments must be made by the 20th day of the month following the month in which the payment of interest was made. Failure to pay the levy by that date will result in late payment penalties and use of money interest being imposed. An initial late payment penalty of 1% will be added the day after the due date. A further 4% penalty will be charged if there is still an amount of unpaid tax (including penalties) 7 days after the due date. Every month the amount owing remains unpaid after the due date, a further 1% incremental penalty will be charged.

Persons who estimate that their AIL payments will be less than \$500 in a tax year may pay the levy 6-monthly. The due dates for payment are 20 October (for levies payable in the period from 1 April to 30 September, both dates inclusive) and 20 April (for levies payable in the period from 1 October to 31 March, both dates inclusive). If the \$500 threshold is reached at any time during the tax year, the approved issuer must:

- # pay to the Commissioner all AIL payments owed for the period from the beginning of the year until the end of the month in which the \$500 threshold is reached (due date for payment is the 20th of the month following the month in which the threshold is reached), and
- # pay the AIL monthly for the rest of the year.

A person who is no longer required to pay the AIL must pay all outstanding levies to the Commissioner by the 20th of the month following the month in which the requirement to pay the levy has ceased. For example, if a person who pays the AIL 6-monthly repays a registered loan from a non-resident on 30 June 2023 (ie the AIL is no longer payable), the levies payable for the period from 1 April 2023 to 30 June 2023 must be paid to the Commissioner by 20 July 2023.

Tax Information Bulletin [¶112-101 Vol 11, No 2](#), February 1999 at 17 contains a brief commentary on the levy. See also IR’s booklet, *Approved Issuer Levy Guide* ([IR395](#)), April 2025.

Law: SCD ss [86K](#), [86KA](#); TAA s [139B](#)

Last reviewed on 31 December 2025

Scheme of the Gaming Duties Act 1971 [¶30-345]

[¶30-345]

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The [Gaming Duties Act 1971](#) (GD) governs 4 types of duty:

- # gaming machine duty
- # casino duty
- # totalisator duty (pre-September 2021), and
- # lottery duty.

Last reviewed on 31 December 2025

Gaming machine duty [¶30-350]

[¶30-350]

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A liability is imposed on all gaming machine operators for the payment of gaming duty on the proceeds of a gaming machine. A gaming machine is a device that is adapted or designed and constructed for use in gambling. The definition includes a device for gambling that is conducted partly by machine and partly by other means and also a device declared to be a gaming machine under regulations made under s 368 of the Gambling Act 2003 (GA). There are also specific exclusions from the definition, for example, a device used only to draw a lottery or a device used only to dispense tickets.

A gaming machine operator is generally any corporate society licensed under the GA to conduct a dutiable game, and any person who conducts any dutiable game without such a licence.

In *Dick v C of IR* (1999) 19 NZTC 15,276, the sole trustee of a trust was found not to be a “society” for gaming licence purposes, and therefore to be an unlicensed gaming machine operator. The Judge accepted that, because the trustee was not a society, the licence the trust held was invalid as the Minister had no statutory authority to issue licences to persons other than societies.

Gaming machine duty returns

Every gaming machine operator is required to deliver to the Commissioner a monthly return in the prescribed form (IR680) stating the amount of gaming machine duty and the problem gambling levy (¶30-367) payable. The return may also be filed electronically using myIR online secure services. The return and payment of duty must be made by the 20th day of the month following the month to which the return relates. The Commissioner can, when the gaming machine operator so requests, allow the operator to produce returns for a period ending on a day other than the last day of a calendar month.

Gaming machine duty is levied at 20% of gross profit.

For further information, see [IR180](#), “Gaming machine duty” (June 2025).

Assessment and disputes procedures

Although every gaming machine operator is responsible for filing returns and making payment of the duty on a self-assessment basis, the Commissioner can issue assessments in the following situations:

- # a person has defaulted in delivering a return
- # the Commissioner is not satisfied with a return
- # the Commissioner is not satisfied that the amount of duty paid by a person is correct, or
- # the Commissioner believes that a person who has not filed a return is in fact liable to pay gaming machine duty.

The Commissioner can make additions or alterations to an assessment at any time to ensure its accuracy. If an assessment is issued by the Commissioner, it will be deemed to be correct and the liability of the person will be determined accordingly, unless challenge procedures are implemented.

If a person has filed a gaming machine duty return and has paid or been assessed for gaming machine duty in respect of that return period, the Commissioner cannot:

- # where an assessment has *not* been made, make an assessment, or
- # where an assessment *has* been made, increase the amount of the assessment

more than 4 years after the end of the month in which the return was filed or the assessment was made. The 4-year time bar does not apply if the Commissioner believes the person knowingly or fraudulently failed to make a full and true disclosure of all material facts necessary to determine the amount of duty payable in respect of the return period.

Recovery of gaming machine duty

Gaming machine duty is recoverable as a debt due to the Crown and will be payable jointly and severally by, in the case of an incorporated gaming machine operator, all persons who, at any time during the period, were officers, trustees or other persons acting in management of the gaming machine operator, including the secretary and treasurer. In the case of an unincorporated gaming machine operator, the duty is payable by all persons who, at any time during the return period, were members, officers or trustees of the gaming machine operator. In the case of bankruptcy, liquidation or receivership, unpaid duty will have the same priority as GST.

A person who has defaulted in the payment of gaming machine duty (the defaulter) may be subject to a notice by the Commissioner that a deduction for the unpaid duty will be made from any amount payable to the defaulter (eg salary, wages or interest). The amount to be deducted may include a daily interest charge. The interest will be calculated from the date of the notice of deduction and end on the deduction date.

Deductions from wages or salary cannot exceed:

- # the lesser of 10% per week of the unpaid gaming machine duty due at the date of the notice or 20% of the wages or salary, or
- # \$10 per week

whichever is the greater.

The amount deducted is deemed to be held in trust for the Crown. Unpaid deductions are recoverable from the person liable to make the deduction as if the gaming machine duty were payable by that person.

Unpaid deductions may be recovered from joint bank accounts: s [12L\(1C\)](#) of the GD.

IR and the Department of Internal Affairs have the ability to exchange information for the purposes of administering gaming machine duty legislation.

Problem gambling levy

For discussion of this levy, see [¶130-367](#).

Law: GD ss [12B–12L](#), [14A](#); GA s [368](#).

Last reviewed on 31 December 2025

Casino duty [¶30-355]

[¶30-355]

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A 4% duty on any casino win is payable by casino operators licensed under the GA. A casino win is a defined term similar to gaming machine profits and equates to the casino's gross margin on games played. There is provision for a carry-forward of any losses against profits in ensuing months. Casinos must file a monthly return of their casino winnings and of the casino duty payable on those winnings. This return is due on the 20th of the month following the month to which the return relates. IR and the Department of Internal Affairs have the ability to exchange information for the purposes of administering casino duty legislation.

Casino duty is recoverable as a debt due to the Crown and is payable jointly and severally by, in the case of an incorporated casino operator, all persons who, at any time during the return period, were officers, trustees or other persons acting in management of the casino operator, including the secretary and treasurer. In the case of an unincorporated casino operator, the duty is payable by all persons who, at any time during the return period, were members, officers or trustees of the casino operator.

With effect from 27 April 2021, casino duty may be refunded by direct credit.

Law: GD ss [12M–12R](#), [14A](#)

Last reviewed on 31 December 2025

Lottery duty [¶30-365]

[¶30-365]

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Lottery duty of 5.5% is payable by the organiser of any lottery on a “New Zealand lottery” as defined in s [4\(1\)](#) of the GA. The definition includes a lottery, prize competition, or an instant game conducted by the Lotteries Commission (or a combination of these). The lottery organiser must furnish a return to the Commissioner and pay the lottery duty owing within 14 days after the date of making the draw. The lottery duty payable is a debt due and payable to the Crown. With effect from 27 April 2021, lottery duty may be refunded by direct credit.

Law: GD ss [3](#), [9–12A](#); GA s [4](#)

Last reviewed on 31 December 2025

Offshore gambling duty [¶30-366]

[¶30-366]

[Click to open document in a browser](#)

The offshore gambling duty applies to offshore gambling profits arising on or after 1 July 2024.

The offshore gambling duty applies to offshore gambling operators who are defined as GST-registered persons located outside New Zealand who conduct any offshore gambling. "Offshore gambling" is defined as any gambling or prize competition supplied through remote services that are physically performed outside New Zealand that a person who is resident in New Zealand pays an amount of money to participate in. "Remote services" are defined in s [12S](#) of the GD using the same definition as how remote services are defined in the GST Act ([¶32-680](#)).

The offshore gambling duty also applies to offshore websites owned by New Zealand casinos because this gambling is conducted by entities that are located outside New Zealand. Note the offshore gambling duty does not apply to existing online products offered by the Lotteries Commission (operating as Lotto NZ) and TAB NZ.

Calculating offshore gambling profits

The offshore gambling duty is calculated as 12% of the offshore gambling profits. Offshore gambling profits are calculated using the following formula (s [12T](#) of the GD):

amounts received from residents # prizes paid to residents # offshore betting amounts

Note if the offshore operator has a negative amount of offshore gambling profits for a return period it will carry forward this negative amount to offset future offshore gambling profits in its next return periods.

See *Tax Information Bulletin* Vol 36, No 4, May 2024 at 72 for detailed calculation examples.

Offshore gambling duty return periods and due dates

The offshore gambling duty returns are to be filed on a quarterly basis with the first period commencing on 1 July 2024 and ending on 30 September 2024. Section [12V](#) of the GD requires that returns for offshore gambling duty must be filed on or before:

- # 28 October for the return period and ending on 30 September
- # 28 January for the return period ending 31 December
- # 7 May for the return period ending 31 March, and
- # 28 July for the return period ending 30 June.

The offshore gambling duty must be paid to IR no later than the relevant return due date for the corresponding return periods listed above (s [12W](#) of the GD).

Assessments, challenges, disputes process, penalties and interest

The rules for the Commissioner making an assessment of offshore gambling duty and for recovering any amount of unpaid gaming duty as a debt to the Crown, are identical to the existing rules that apply for casino duty.

The disputes process, penalties and interest rules that are prescribed by the TAA will apply to the offshore gambling duty.

Law: GD ss [12S](#), [12T](#), [12U](#), [12V](#), [12W](#), [12X](#)

Last reviewed on 31 December 2025

Problem gambling levy [¶30-367]

[¶30-367]

[Click to open document in a browser](#)

The GA is generally a social policy measure to control the growth of gambling and to prevent and minimise the harm caused by gambling, including problem gambling. The legislation also aims to ensure that money from gambling is used to benefit the community.

To help recover the costs of problem gambling, a problem gambling levy is imposed on a gambling operator or a class of gambling operator in a specified sector of gambling. The levy is based on the estimated level of player expenditure.

The problem gambling levy is neither a tax nor a duty. However, for the purposes of its collection and recovery, it is treated as if it were a duty. The powers of collection, recovery and enforcement in the GD and the TAA also apply to the levy. Any unpaid levy is recoverable as a debt due to the Crown.

The amount of the problem gambling levy, set every 3 years, is calculated in accordance with a formula set out in s 320 of the GA. The formula takes into account the level of harm attributable to and the total revenue derived in each sector.

Levy from 1 July 2022

The problem gambling levy rates for the period from 1 July 2022 are as follows:

<i>Gambling sector</i>	<i>Levy rate (GST excl)</i>
Casino operator	0.87%
Gaming machine operator	1.08%
Lotteries Commission	0.44%
TAB NZ (before 1 August 2020, Racing Industry Transition Agency)	0.76%

Levy from 1 July 2025

The problem gambling levy rates for the period from 1 July 2025 are as follows:

<i>Gambling sector</i>	<i>Levy rate (GST excl)</i>
Casino operator	0.89%
Gaming machine operator	1.24%
Lotteries Commission	0.69%
TAB NZ (before 1 August 2020, Racing Industry Transition Agency)	0.74%

The problem gambling levy is treated as if it were a duty for the powers of collection, recovery and enforcement. Thus, the levy is payable monthly and payment, accompanied by the appropriate levy return, must be made by the same date as the relevant duty must be paid. In other words, for casino operators, gaming machine operators and the TAB NZ, the levy must be paid no later than the 20th day of the month following the month for which the return relates. For the Lotteries Commission, the levy must be paid no later than 14 days after the date of drawing of a lottery.

Goods and services tax is also payable on the problem gambling levy. IR issues a GST tax invoice showing the GST content of the problem gambling levy.

Note that where a refund of problem gambling levy is payable, from 25 June 2021 this amount may be refunded by direct credit ([Gambling \(Problem Gambling Levy\) Regulations 2019](#)).

Law: GA ss [2](#), [3](#), [319–323](#)

Last reviewed on 31 December 2025

Penalties for gaming duties [¶30-370]

[¶30-370]

[Click to open document in a browser](#)

The penalties regime in Pt 9 of the TAA applies to all races run, lotteries drawn, casino wins arising and dutiable games played. A late payment penalty of 5% followed by a monthly incremental 1% charge applies to gaming duties not paid by the due date. The initial 5% late payment penalty is charged in 2 stages. The first 1% is charged the day immediately following the due date and the remaining 4% is charged if the duty remains unpaid 7 days after the due date.

Use of money interest, under Pt 7 of the TAA is also charged on late payments and underpayments of duty. Civil penalties under ss [141A–141E](#) of the TAA, ranging from 20% for not taking reasonable care to 150% for evasion, can also be imposed by the Commissioner. In the case of evasion, racing clubs, casino and gaming machine operators and lottery organisers may also be convicted and liable to pay a fine of up to \$50,000. If convicted for evasion, the maximum term of imprisonment is five years. For further discussion of penalties, see Chapter 14.

Law: GD s [15](#)

Last reviewed on 31 December 2025

Refunds of gaming duty if paid in error or excess [¶30-375]

[¶30-375]

[Click to open document in a browser](#)

If gaming duty has been paid in error or in excess of the amount required, it may be refunded to the person seeking the refund within 8 years of the date of the original payment. The Commissioner must be satisfied that the duty was paid in error or in excess and that the person seeking the refund is entitled to receive it.

The refund is generally paid by way of direct credit to the recipient's bank account.

Law: GD s [13](#)

Last reviewed on 31 December 2025